

FREEMARKETWATCH.WORLD

The Hidden Cost of Money

What nobody taught us about how the economy really works

What We're Covering Tonight

01

Why money exists

Trade, specialization, and the engine behind civilization

02

What makes good money

The properties that separate honest money from a tool of control

03

The blast radius

Debasement, inequality, war, debt, and degrading quality

04

Hard money changes everything

Time preference and what a different world looks like

05

Bitcoin

The answer to the question gold could not solve

06

What comes next

Questions, resources, community

PART 1 OF 6

Why Money Exists

And why it matters more than you think

Specialization Through Trade

“Every product you own, every service you use, every medicine that has ever saved a life — all of it exists because humans figured out how to trade with strangers they would never meet.”

freeMarketWatch Education Series

Lines of production lengthen

Each trade adds a specialist. Economists call this lengthening the lines of production — the longer the chain, the more complex the output.

Civilization emerges

Hospitals, infrastructure, technology — all accumulated results of billions of trades compounding over centuries.

But classic barter breaks down

Barter requires a double coincidence of wants — you need someone who has what you need AND wants what you have, right now. Impossible at scale.

Money: A Human Invention

“Money is as human as language. Both emerged from collective need, not central design.”

Money did not come from a government decree. It emerged naturally, from the bottom up, wherever people traded. Shells, cattle, salt, beads, and eventually metals — each community converged on whatever worked best as a go-between.

Every civilization on earth independently arrived at the same answer. That convergence is as close as economics gets to a controlled experiment. The monies that survived thousands of years of competition shared specific properties. The ones that failed were missing one or more.

PART 2 OF 6

What Makes Good Money

And what makes it a weapon

The Properties of Sound Money

Scarce

Cannot be created freely. If anyone can make more, it loses value.

Durable

Does not rot, rust, or degrade.
Stores value across time.

Divisible

Can be split into units for any transaction size.

Fungible

Each unit identical to every other. One dollar = any other dollar.

Portable

Easy to carry and transfer.
Wealth must be able to move.

Verifiable

Anyone can confirm its authenticity without special authority.

Decentralized

No single entity controls it.
Control invites manipulation.

Gold Won the Competition

“Gold did not become the world's reserve money because kings decreed it. It became reserve money because it kept winning the competition. Every civilization that encountered it independently arrived at the same conclusion.”

freeMarketWatch Education Series

Extraordinarily scarce

All the gold ever mined in history would fill roughly 3.5 Olympic swimming pools. New supply is slow and limited.

Durable, divisible, fungible

Does not corrode. Recognizable and valued anywhere on earth.
Divisible into smaller units.

Gold's one fatal flaw

It is heavy. Moving large amounts requires trusted custodians — and trust, over time, was always abused.

The Crack in the Door

The practical solution

Store gold with trusted custodians — banks — and carry paper certificates redeemable for gold. Convenient. Practical. Everyone wins.

The quiet abuse

Custodians noticed most people never collected their gold at once. So they issued more certificates than gold existed. Quietly. Incrementally. This became fractional reserve banking.

Central banks take over

Governments institutionalized the system. Central banks became the trusted third party managing the money supply — empowered to create money to fund wars and bail out failures.

1971: the last constraint removed

On August 15, 1971, Nixon severed the last link between the dollar and gold. From that moment: no limit on money creation. The discipline was gone entirely.

PART 3 OF 6

The Blast Radius

What unlimited money creation does to the world

Debasement — Not Inflation

Technology makes production cheaper every year. Computers, phones, and televisions cost less in real terms than a decade ago because we got better at making them. If that logic held across the economy, most things should be getting cheaper over time.

The fact that they are not points to something else. Prices rise not because goods are gaining value — but because the money measuring them is losing it. A better word for this is debasement — the deliberate dilution of money's purchasing power through the creation of more of it.

And crucially: the value savers lose does not disappear. It is transferred — to those who created the new money and spent it first.

The Numbers Are Not Abstract

97%

Loss in US dollar purchasing power
since the Federal Reserve was
created in 1913

1971

Year the last link between the dollar
and gold was severed — money
creation became unlimited

85×

Increase in US national debt since
1971 — from \$400B to over \$34
trillion

Economists call the mechanism behind this the Cantillon effect — new money flows to those closest to its source first, before prices rise. Those early recipients deliberately buy assets they know will appreciate. By the time new money reaches ordinary wage earners, prices have already adjusted. Workers see rising costs, not rising wages.

The Blast Radius

War becomes affordable

Under hard money, wars required visible taxes. Under fiat, they are financed by printing — the cost socialized invisibly across every citizen's savings and wages, without a vote.

Wealth inequality accelerates

Those with means buy assets that inflate with the money supply. Those relying on wages fall behind. Not a failure of capitalism — a predictable consequence of the money itself.

Product quality degrades

When inflation squeezes purchasing power, consumers buy on price. Producers cut costs. Quality falls. Planned obsolescence becomes the rational strategy — not greed, incentives.

Debt becomes a way of life

The fiat system cannot function without debt — money is created when banks issue loans. Saving is punished; borrowing is subsidized. Debt is the rational response to bad money.

PART 4 OF 6

Hard Money Changes Everything

Including how you think

Time Preference

Why do we build things that last? Medieval cathedrals took generations to complete. The builders who laid the foundation knew they would never see the finished spire. Craftsmen carved intricate details into stonework hundreds of feet up — details no eye would clearly see. They built anyway, to last centuries.

That was not just piety. When money holds its value, the future feels real and worth investing in. When money loses value, the future feels discounted. Why build for a hundred years when you cannot reliably plan for ten?

Economists call this time preference — how much people value the present over the future. The structure of money shapes this collectively, across an entire society. Hard money lowers time preference. Soft money does the opposite — it shortens the horizon and nudges everyone to borrow from the future to consume now.

Two Worlds

Soft Money World

Saving is irrational — money loses value sitting still

Debt is rational — repay with cheaper future dollars

Build to be replaced — planned obsolescence wins

Governments borrow indefinitely — cost socialized through inflation

Culture optimizes for the immediate and disposable

Hard Money World

Saving is rewarded — purchasing power holds or grows

Debt is a serious commitment — costs what it costs

Build to last — reputation compounds over generations

Governments must balance — no free money to conjure

Culture invests in the enduring — built to outlast its makers

PART 5 OF 6

Bitcoin

The answer to the question gold could not solve

Why We Can't Just Go Back to Gold

“What the world needed was something with all of gold's monetary properties — but that could be sent anywhere, verified by anyone, and controlled by no one. For most of history, that was simply impossible. Then, in 2009, it was not.”

To return to a gold standard would be to repeat the same cycle. The flaw is structural, not political. Governments, banks, and institutions entrusted to issue certificates equal to their gold holdings found ways — quietly, incrementally, without most people realizing it was happening — to issue more claims on gold than gold existed.

No amount of good intentions fixes the fact that gold is heavy, hard to verify, and impossible to move across the world instantly without trusting someone.

What Bitcoin Is

A peer-to-peer system

Introduced in 2009 by Satoshi Nakamoto. Sends value directly between two people anywhere in the world — without any trusted third party. Not a bank. Not an exchange. Not a payment processor.

Fixed supply: 21 million

Hard capped. The last bitcoin will be mined around 2140. No government, no central bank, no institution can change this. The first monetary asset in history with a provably fixed supply.

Enforced by mathematics

Rules are enforced by mathematics and a globally distributed network — not by trust in any person or organization. It has operated continuously for fifteen years without failure.

Not issued by anyone

No company. No CEO. No board. No headquarters. A protocol — like email or the internet — running on thousands of computers worldwide simultaneously.

Bitcoin vs Gold — The Key Properties

Scarcity

GOLD

Finite but unknown supply. New gold mined continuously.

BITCOIN

Hard cap: 21M. Unchangeable by anyone.

Portability

GOLD

Heavy and slow. Requires trusted intermediaries.

BITCOIN

Sent anywhere in minutes. A billion dollars moves as easily as a dollar.

Verifiability

GOLD

Requires physical testing. Certificates require trust.

BITCOIN

Every transaction verified instantly by the network. Counterfeiting is mathematically impossible.

Decentralization

GOLD

Storage concentrates in vaults. Custodians become control points.

BITCOIN

Thousands of independent nodes. No single point of control.

Durability

GOLD

Does not corrode. Durable over millennia.

BITCOIN

Indestructible as long as the network exists.

Divisibility

GOLD

Requires physical manipulation. Small transactions impractical.

BITCOIN

Divisible to 8 decimal places. Any transaction size.

PART 6 OF 6

What Comes Next

Questions, resources, and the path forward

What You Now See Differently

Why housing feels out of reach

Housing is not more expensive because it became more valuable. It's more expensive because money became less valuable — and the wealthy use real estate to protect wealth from debasement.

Why wages never catch up

Wage earners sit at the furthest end of the Cantillon chain. By the time new money reaches salaries, prices have already risen. Workers see rising costs, not rising wages.

Why debt feels inescapable

The fiat system cannot function without debt — money is created through loans. Saving is punished; borrowing is subsidized. Debt is structurally required, not a personal failure.

Why everything feels disposable

Not greed. Not cheap manufacturing. Incentives set by the monetary system. When inflation erodes purchasing power, consumers buy on price, producers cut costs, quality falls.

Common Questions — Honest Answers

Isn't it just speculation?

Volatility reflects early adoption stage. Gold was also volatile early. What matters is whether the underlying monetary properties hold. They do — fifteen years of continuous operation.

Can't governments ban it?

They can restrict. They cannot shut down a global distributed network. Every outright ban attempt has been extremely difficult to enforce. The network has never been shut down.

What about other cryptocurrencies?

Most have no fixed supply and central teams who can change the rules. Bitcoin is categorically different — provably fixed supply, no controlling authority, fifteen years of unbroken operation.

Isn't it too late?

Global adoption is still in low single digits. The transition from fiat to sound money is measured in decades, not years. Understanding is more valuable than timing.

Where to Go From Here

The Bitcoin Standard

Saifedean Ammous

Start here

The Fiat Standard

Saifedean Ammous

Monetary

What Has Government Done to Our Money?

Murray Rothbard

Foundatio
n

Price of Tomorrow

Jeff Booth

Monetary

Broken Money

Lyn Alden

Monetary

A Little History of Money

Lawrence Lepard

Foundatio
n

Also explore: freemarketwatch.world/learn · The six-session deep dive series is available for groups

Abundance Architecture

Coming soon — a framework for building personal and community prosperity on a sound money foundation.

Health Unveiled

Coming soon — exploring the intersection of monetary policy, incentive structures, and public health outcomes.

Discussion

What's one thing you see differently?

Think about your business, your savings, your community. What makes more sense now than it did two hours ago?

Where do you push back?

What are we getting wrong? What's the strongest argument against this framework you can make?

What would change?

If savings actually held value in your community — what decisions would look different? What would you build?

What's your next step?

Not a financial decision — an educational one. What do you want to understand more deeply before the next conversation?

The Question Worth Sitting With

“The monetary system is not a law of nature. It is a human invention — and human inventions can be changed. Understanding is where that change begins.”

Explore the data

freemarketwatch.world — see purchasing power, currencies, and monetary data in real time

Go deeper

freemarketwatch.world/learn — the six-act written series and six-session deep dive

Find your community

Communities worldwide are already building circular bitcoin economies — the transition happens together